PRIVATE AND CONFIDENTIAL

Geological Hydrogen Transaction Case

Financing the concession stage through a milestone-linked convertible instrument.



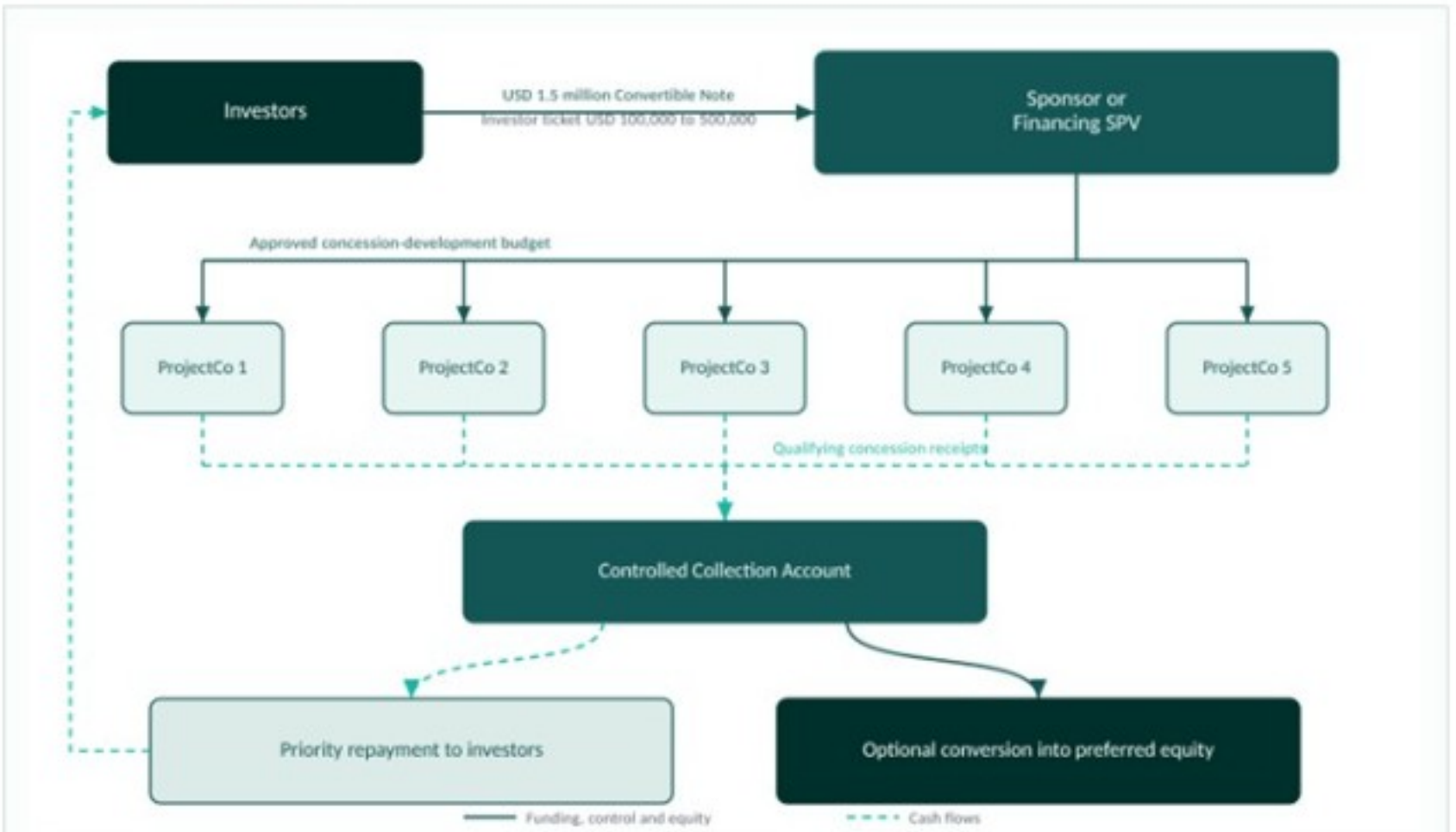
THE TRANSACTION

A geological hydrogen platform was pursuing five concessions. It needed up to USD 1.5 million to fund government engagement, concession applications, technical work, legal structuring and mobilisation through the first awards. With no producing asset, proven reserve or contracted revenue, the opportunity was too early for conventional project finance.

THE STRUCTURING CHALLENGE

A standard loan would create repayment obligations before any operating cash flow existed. Ordinary equity would force a premature valuation and early dilution. The instrument had to give priority repayment, compensate for development risk, protect conversion and keep control over the use of funds.

TRANSACTION STRUCTURE



Illustrative and anonymized transaction case.